

Moreover, trade specialisation leads to extensive use of existing factor inputs that help resources to move towards the frontier of Production Possibility Curve (PPC). This is the well-known phenomena of trade serving as a vent for surplus proposition advanced by H. Myint in 1959. The expansion of primary export may entice the inflow of foreign capital, which is relatively scarce in less-income economies that foster the recipient industry and the development of other industries. This *linkage effect* is significant in export-oriented industrialisation strategy as development creates incentive for rest of the industries to expand and build over time. This can also expand the provision of physical infrastructure such as roads, railways, harbours, telecommunications, electricity, and the like. It is argued that the primary-export-led growth strategy has been instrumental in the growth process achieved by several industrialised countries such as the United States of America, Canada, and Australia.

16.4.1 Criticism of Primary-Export-Led Growth Policies

The focus of export-led growth through specialisation in primary commodities has received considerable scrutiny and criticism from economists and government leaders. Some of the major concerns are the following.

Firstly, the market growth of primary export products is relatively lower in the industrialised countries. Based on the *Engel's law*, we know that as income increases, the demand for primary products falls relative to manufactured products.⁶ Since the developed world are the major importers there is hardly a proportionate increase in the demand for primary products, which corresponds to a declining share of industrialising countries imports in the long run.

Secondly, it is argued that in the long run, the price of primary-exported commodities relative to manufactured-goods import will tend to fall and, as a result, the exporters will face a *secular deterioration* in their terms of trade⁷. The prices of primary products fall because of the sluggish demand in the industrialised countries and over supply of these products from the severe export expansion policies in the underdeveloped countries. Under these circumstances, the unfavourable terms of trade will reduce the positive gains from trade.

⁶ Economic theory asserts that as the level of income increases, consumers spend a smaller amount of their overall income on primary commodities such as foodstuffs and other raw material based goods like textiles and apparel. Instead, their spending choices shift towards more manufactured goods. Consequently, the demand for primary products declines in relation to the demand for manufactured goods.

⁷ This thesis is proposed by (a) Singer H, W. (1950). The Distribution of Trade between Investing and Borrowing Countries. *American Economic Review*, 56, 5658. and (b) Raul Prebisch (1950), *The Economic Development of Latin America and Its Principal Problems*, United Nations.

16.4.2 Import Substitution Industrialisation Strategy

On several grounds, most developing countries ignored the primary-export-led growth strategy policy and favoured the import substitution **industrialisation (ISI)** strategies. The focus of import-substitution policies is to augment rapid industrialisation through erecting heavy protective tariff and non-tariff barriers to incentivise domestic production. The idea is to provide a necessary protective environment for the domestic industry to build manufacturing capability to learn and improve technical efficiency, productivity and create its own form of development.⁸ In essence, the import substitution represents the production of goods at home which were earlier being imported. The basic idea is rooted in the concept of *infant-industry* argument of protection for selected (or targeted) industries. This is based on the belief that the government can correctly identify the potential and emerging industrialising sectors suited for local industrialisation. Government supports the indigenous production through high trade barriers on similar products, which will encourage domestic investment in local production activities. As the industry matures, the level of protection is lowered and the sector will be able to serve the domestic and export market at competitive prices. However, in practice, the trade barriers, once erected, are difficult to repeal and don't come down easily. Another important consideration for adopting the ISI strategy was the 'Balance of Payment (BoP) difficulties' of several economies during the aftermath of World War II, as saving foreign exchange seemed to be more feasible than earning foreign exchange through export promotion.

The incidence of import substitution is often measured by a change in the ratio of imports to the total availability (i.e., import plus domestic output) of a single product or category of products. When this ratio falls over time, the particular product or sector is subject to be experiencing import substitution. As the domestic production replaces imports, the economy is expected to become more independent, resilient, diversified and welfare enhancing. In practice, most LDCs initiated ISI by using foreign exchange earnings to import capital goods such as machines and tools that make consumer or intermediate goods and raw materials to manufacture inputs to produce domestically the consumer goods previously imported. Since the terms of trade of primary export products were unfavourable, the main constraint of industrial growth and development was the availability of foreign exchange. As industrialisation requires machinery and tools, the major role of import substitution was to reduce the need for foreign exchange used to buy goods that could be made at home.

Import substitution generally goes through different stages. In the *first* stage, the government provides incentive to establish and develop final consumer goods

⁸ Bruton, H. (1989). Import substitution. *Handbook of Development Economics*, Vol 2, 1601-1644.

sectors such as food, clothing, electrical appliance, textiles, and leather to use the domestic production of consumer goods to replace imported goods. This is relatively an easy stage since the large proportion of commodities produced during this period is the consumer non-durables where comparative advantage serves as the driving force. In the *second* stage, ISI moves from consumer goods to developing capital and intermediate goods production such as machine tools, petroleum processing, iron and steel, and other capital-intensive industries. This stage is generally difficult, as the capital-intensive sectors also require advanced technology, sophisticated machinery and the availability of favourable infrastructure overheads. In the *third and final stage*, the production of complex industrial goods is envisaged (e.g., chemicals, electronic equipment, tools, etc). Once these three stages progress, industry becomes mature and lays the foundation for comprehensive industrialisation.

16.4.2.1 Country Experiences

The import substitution-based industrialisation originated in the Latin American region such as Brazil, Argentina, Mexico, etc., as a reaction against the widespread problems associated with primary export-oriented policies. Although Latin American countries were successful exporters of agricultural commodities (tropical fruits, coffee, cotton and grains) and minerals (petroleum, copper and tin) until the middle of the 20th century, these export sectors were largely controlled by foreign companies. These sectors served as foreign enclaves and had limited economic linkages with the rest of the sectors creating large income inequalities. The post-war scenario and the long-run tendency of the prices of primary commodities to fall relative to the finished manufacturing goods, as predicted by the Prebisch-Singer thesis, led the formation of an alternative economic strategy for development. As the chief advisor and head of the United Nations' Economic Commission on Latin America (ECLA), economist Prebisch argued for the case of shifting away from the dependence on raw material exports to the production of manufacture goods that substitute imports, i.e., import substitution industrialisation. Soon these policy prescriptions became the dominant paradigm followed enthusiastically by the newly independent countries in the 1950s and 1960s including India, China and other East Asian economies. In the earlier stages, the industrial sectors witnessed considerable economic growth and trade expanded rapidly. However, as countries began to shift from different *stages* of import substitution, several issues and unintended consequences emerged. Some of the leading issues and problems are discussed in the following sub-section.

16.4.2.2 Criticism of ISI

In retrospect, the development strategy based on import substitution industrialisation generated substantial economic costs including resource inefficiencies and wastages. Some of the major criticism are the following: (1) Persistent trade barriers and industry protection (2) the resource misallocation by

the government as it had commanding control over production decisions (3) severe misalignment and mismanagement of foreign exchange rate policies that made exchange rate often overvalued (4) worsening of income inequalities (5) encouraged widespread rent-seeking activities.

Under the inward oriented policy, firms were usually given temporary protection to build and develop their production capabilities. However, in practice, the barriers rarely come down. Since the level of trade/industry protection has a positive link with company profits, it is the interest of the latter to pursue and demand larger protection from domestic and international competition. As a result, the trade barriers tend to grow over time, leading to considerable welfare loss to the society.

One of the main effects of ISI is the overestimate of the government official's ability to identify market failures and solutions. Since the bureaucracy and political considerations made the resource allocation decisions, it also generated lobbying, accumulation of special provisions, favours and economic inefficiencies that build up over time. The result of heavy misallocation of scarce economic resources was magnified by the huge inequality in wealth and income throughout Latin America.

A serious issue of government controlled industrial strategy was the development and persistence of overvalued exchange rates, resulting from either deliberate policy choices or chronic problem by following a fixed exchange rate regime under inflationary pressure. The exchange rates were often overvalued to make it easier for the targeted industrial segment to import necessary capital goods and raw materials. However, on the other side, it retarded export competitiveness by raising the foreign price of domestic goods, which negatively affected the agricultural and traditional export sectors. As a result, the investments were misallocated, causing productivity and income in rural areas to remain either low or stagnant.

The exchange rate misalignment often hurt domestic manufacture that produce imperfect substitutes for imports as it was less profitable to export. Since machinery and tools become artificially cheap and easily procured from abroad, the domestic production tended to be relatively more capital intensive and insufficiently labour intensive. As a result, the manufacturing sector did not create or absorb surplus labour from agriculture and allied activities. As developed regions tend to attract more investments and infrastructure facilities, there tend to be severe economic imbalances in the contribution of subsistence farmers and industrialised class in the national income. This accentuates economic inequalities.

The concentration of economic power in a few big industrial sectors in the absence of foreign and domestic competition favoured the creation of a large number of domestic monopolies. As a result, the manufacturing activities were largely internationally uncompetitive, inefficient and inward oriented (i.e.,

catered only to the domestic demand). The small size of the domestic market hardly provided an incentive for firms to invest in new machinery and equipment or have benefits from market-induced scale economies.

Another major issue associated with the ISI was generating economic waste from rent-seeking activities. Since protection from foreign competition was the norm and domestic manufactures required import licensing and subsidised credit, the system created favourable incentive environment for private parties to form pressure group and lobby the government machinery. In effect, in the absence of a strong and transparent institutions and the pervasiveness of bribe and corruptions, the system laid ground from large-scale rent-seeking activities that diverted scarce economic resources towards unproductive activities.

16.4.3 Outward Oriented Development Strategies

In contrast to the heavy focus on internal demand-induced development model of ISI, some of the developing economies adopted ***Outward Oriented Development Strategies*** that favoured dependence on external demand opportunities. Under these policies, the government actively targeted manufacturing sectors where the country has *potential* comparative advantage. For instance, if a country was well endowed with low-or semi-skilled labour, the government would encourage the development of labour-intensive manufacturing such as textiles, paper, wood, etc., in the anticipation of better export prospects.

Under the outward looking strategy, more trade openness and less market restrictions are advocated so that internal domestic prices will be in parity to world prices. The policy also keeps an undervalued exchange rate to maintain export competitiveness and maintain relatively minimal government interference on factor market that helps wages and rents reflect true scarcity. The outward oriented policies encourage domestic manufacturers to use their relatively abundant resources and sell products abroad to achieve economies of scale. Since the success of selling products requires skill and effort to face international competitiveness, this will act as a driver to raise productivity and product quality. The export earning can be used to pay for rising imports and free the economy from binding foreign exchange constraints.

Thus, broadly, the outward oriented industrialisation policies provide similar incentives for manufacturing firms to sell either in the domestic or foreign market. However, an outward oriented policy itself is not enough to produce better growth rates as it must be supplemented by a set of policies that reduce distortions, nurture high rates of capital investments, transparent and clear property rights, rules and business regulations and an efficient infrastructure in the form of ports, airports, electricity and communications.

16.4.3.1 Country Experiences

Since the 1960s and 1970s, several developing countries shifted their emphasis toward new exports of less-skilled-labour-intensive manufactured goods to the

industrialised countries. Remarkably, the shift in industrial policy that promoted exports was followed by significant growth resurgence in several economies, especially in the East-Asian Countries. This High-Performance Asian Economies (HPAE), a term coined by the World Bank, are Hong Kong, Indonesia, Japan, Malaysia, Singapore, South Korea, Taiwan and Thailand. Among them, Japan's economy switched from ISI to export promotion in the late 1950s and early 1960s. The four Tigers (Hong Kong, South Korea, Singapore and Taiwan) initiated the transition in the late 1960s and the Newly Industrialising Economies (NIE -Indonesia, Malaysia and Thailand) began in the early 1980s. Subsequently, during 1965-2000, the HPAE doubled their share of total world exports and total world manufactured exports.

By historical standards, the growth performance achieved by NIE following changes in policy orientation toward manufactures, especially relaxing import restriction and boosting export orientation, has been phenomenal. Among the NIE, the initial shift from ISI was made by Taiwan who encouraged export promotion policies and subsequently achieved the GDP growth rates of about 10 per cent per year. South Korea shifted towards outward-oriented policies by increasing export incentives and lowering import barriers in the 1960s. Since then the economy's growth rate increased to about 10 per cent per year. Similar growth experience was observed in the case of Hong Kong and Singapore who also used export boosting policies. According to the *World Development Report of 1994* by the World Bank, during 1980-1992, the average growth rate of real GDP per person for strongly outward oriented economies (Hong Kong, South Korea and Singapore) and strongly inward oriented economies (Argentina, Bangladesh, Chile, India and Turkey) were 6.2 percent and -0.4 per cent per annum, respectively. This reflects the sharp contrast of development experience of countries following completely diverse policy strategies.

16.4.3.2 Critical Evaluation

The remarkable, consistent and robust growth of over 10 percent per annum across NIE since 1960s has been subject of considerable debate and academic research. Economists generally agree on several facts about the miracle success story of East Asian countries. *First*, these economies were subject to considerable stability in their macroeconomic indicators. *Second*, the government actively encouraged a favourable distribution of income growth, in part through enhanced access to healthcare, education, and housing. Investments in social overheads developed a highly skilled and literate labour force that improved technology and export competitiveness and attracted large-scale multi-national investments. *Third*, NIE promoted trade and not just exports, as the case with the mercantilists. Exports provided necessary foreign exchange earnings and reduced external currency constraints, while imports provided access to new technology inputs and products that encouraged productivity. *Fourth*, the growth in HPAE was accompanied by falling income inequality. Though historically most East Asian

countries have low level of unequal distribution of wealth, the subsequent policy initiatives had highly visible wealth-sharing mechanisms. These included land reforms, free public education, free basic healthcare, and considerable investments in rural infrastructure such as clean water systems, transportation and communication systems.

The improvement in economic equality is associated with rapid rates of accumulation physical capital (investment) and human capital (education and skill). The large investments were the result of considerably higher levels of saving rates that prevailed in most HPAE that was the result of rapid rate of income growth and stable macroeconomic environment of low inflation. The human capital investment was facilitated by an active education policy that created a pool of highly skilled workforce capable of managing increasingly sophisticated forms of manufacturing production. In effect, the technical skill endowment enabled most manufacturing industry to shift their level of comparative advantage (dynamic gains) so that new investments were made in new product and process lines. This supported their active promotion of export-oriented industrialisation policies.

A major learning experience of NIE success story is that apparently these economies did not follow a stringent import restrictive policy. In fact, they actively encouraged the import of essential inputs such as machinery and equipment that embodied latest technology and knowledge. The adaptation of capital goods in the domestic production boosted technological capability and exports competitiveness. This was consistent with the prediction of modern theoretical trade and economic growth models showing that protectionism often hurt manufacturing exports as the lack of demand for foreign goods forces currency to appreciate. This was in sharp contrast to the experience of Latin America where low export volumes accompanied heavy restriction on imports during the 1980s.

16.5 INDIAN EXPERIENCE

In this section, we provide a brief overview of the development experience of India since the beginning of economic planning. The focus is on the discussion of trade policy regime on industrialisation and growth.

16.5.1 Experiences with the Inward-Oriented Industrialisation Regime

Soon after independence, India adopted an inward-oriented policy regime. The basic premise was self-sufficiency, minimal external dependence and commanding heights of the public sector in the allocation of economic resources. The main policy agenda was the reservation of large segment of industries under the government ownership and the requirement of government permission before setting up industrial units by private firms. As such, the government heavily

protected the domestic industry by insulating them from international competition. This was accompanied by multiple controls over investments, scale of operations, investment location and technology to be used in production.

The trade regime was highly protectionist and regulated through tariff and pervasive non-tariff barriers on imports. Most of the imports were subject to discretionary import licensing such as Open General Licensing (OGL), negative list and canalisation by the government. On the other hand, to remove the bias from overvalued exchange rates, the government introduced several export promotion policies and instruments such as broad banding, export scrips, etc. However, the distortive incentive structure severely restricted Indian products to be internationally competitive in the world market. The blanket ISI strategy, though initially successful in developing a variety of diversified industrial base in the country, has often criticised for inefficiencies and poor rates of growth. For instance, since the mid-sixties, the rate of growth of economy was virtually stagnated around 3 per cent per annum, which came to be known as the Hindu-rate of growth. Similarly, the share of trade in GDP remained considerably low for many decades.

16.5.2 Experiences with the Outward Oriented Liberalisation Regime

The cost of blanket protection becomes apparent as the economy gradually become prey to the vicious circle of low growth, inefficiency and an uncompetitive manufacturing sector. The sluggish export sector further puts pressure on foreign exchange that was essential for meeting the essential imports. Consequently, government made efforts towards gradual liberalisation of imports in the mid-1980s. The severe BOP and fiscal crisis in the late eighties forced the government to implement comprehensive liberalisation programs to gradually reduce the over dependence on the public sector and the economic inefficiencies. The economic reforms, initiated since 1991, began to dismantle central government control in industrial activities by reducing entry barriers, abolishing the Monopolies and Restrictive Trade Practices (MRTP) Act, etc. On the external sector, considerable reduction of tariff and non-tariff barriers was made across raw materials, capital goods, intermediate goods and final goods. A managed float replaced the fixed exchange rate regime and foreign investment policies were made more market friendly and transparent. All these policy initiatives made the Indian economy more outward oriented with deeper economic integration with the rest of the world.

Since economic liberalisation, the level of trade openness, measured by merchandise trade-GDP ratio, has increased substantially from 12 per cent in

1980 to 44 per cent in 2008⁹. During 1980–2013, the organised manufacturing sector witnessed a growth rate of 8 per cent per annum with an average share of 16 per cent in GDP.¹⁰ Moreover, since the abysmally poor productivity growth rate in the nineties, there is some evidence of considerable surge in productivity in the organised manufacturing sector post 2000. Incidentally, the rate of economic growth since the 1980s has been remarkable. For instance, based on the World Bank data, we find that during the 1980s and 1990s, the GDP rose to 5.6 per cent and 5 per cent per annum, respectively. During 2000–2010 periods, the per capita GDP continued to rise at a rate of 7.7 per cent per annum, making India one of the fastest emerging economies in the developing world. This indeed suggests that there is evidence of trade led growth in India since reforms. However, much empirical evidences are required for asserting whether trade is acting as an engine of growth since the onset of comprehensive trade liberalisation reforms.

Check Your Progress 2

Note: i) Use the space given below for your answers.

ii) Check your progress with those answers given at the end of the unit.

1) Write a short note on the import substitution industrialisation strategy.

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2) Briefly explain the outward oriented development strategies.

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3) Give a brief account of India's experiences with the Inward-Oriented Industrialisation Regime.

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⁹ Trade openness is measured by taking the merchandise trade (Export-Import) share in GDP at current prices. The data is collected from World Development Indicators (WDI), World Bank online database.

¹⁰ The growth rate of manufacturing sector is based on data collected from the Annual Survey of Industries (ASI), CSO. The manufacturing share is based on value added share in GDP, collected from WDI, World Bank.

16.6 LET US SUM UP

In this unit, we studied the nexus between trade and economic growth based on international trade theory, policy and country level experiences. The impact of trade on growth is an active area of research as there are many unsettled answers posed by theory as well as country level practices. We know that trade not only improves the level of income but also can have significant growth effects through the impact on technological progress. However, since the determinant of technology is complex and specific to industry and sectors, the underlying link between trades induced investments in technology intensive activities such as R&D, skill upgradation, knowledge, etc., are not easy to comprehend. However, we do have enough evidence to argue that for the welfare benefits of liberal trade to materialise it is necessary to have an efficient, consistent and robust set of institutional arrangements governing the economic actors. Unless the rules and regulatory environment are properly defined and enforced, the gains from trade in a highly integrated economy may not be optimal.

16.7 KEY WORDS

Rule of 70

According to a simple approximation of time, the number of years it takes for an economy to double its level is equal to 70 divided by the growth rate. This is known as Rule of 70.

Golden Rule Level of Capital

The steady-state level of capital stock that maximizes the level of consumption is called Golden Rule Level of Capital.

Import Substitution Industrialization (ISI) strategies

The focus of import-substitution policies is to augment rapid industrialization through erecting heavy protective tariff and non-tariff barriers to incentivize domestic production.

Infant-industry

An infant industry is a new industry, which in its early stages experiences relative difficulty or is absolutely incapable in competing with established international competitors.

Open General Licensing (OGL)

An Open General License (OGL) is a type of export license issued by a government to its domestic suppliers.

Newly Industrializing Economies (NIE)

World Bank defines Indonesia, Malaysia and Thailand as Newly Industrializing Economies.

High-Performance Asian Economies (HPAE)

A term coined by the World Bank, HP AE considers Hong Kong, Indonesia, Japan,